In summary, **money**:

- **Facilitates trade** because **everyone accepts it as final payment.**
- Allows us to **measure** the **value** and to **make comparisons** between different goods and services.
- Lowers our time preference, as it allows us to **save** and **spend it in the future**.

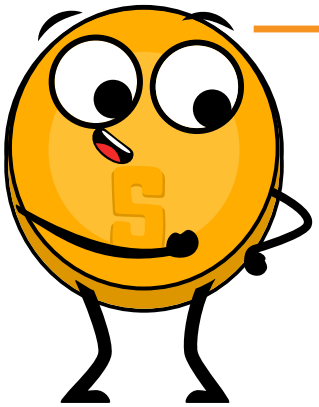
1.3.2 Functions of Money

When it comes to buying and selling goods and services, money is the key player. It has several important jobs, like:

- **Making exchanges easier**: With money, you don't have to find someone who wants exactly what you have to trade. Instead, you can use money to buy and sell anything you want.This makes trading and commerce much more convenient and efficient.

Medium of Exchange

- **Being a unit of account**: Money provides a universal standard of value that allows people to express and compare the price of different goods and services. This allows for a more efficient and transparent market, where people can make informed decisions about what to buy and sell.
  - Think of it like this: if you wanted to buy a new car, you could compare prices from different dealerships and make an informed decision about which one to buy based on the price in dollars. Without a unit of account, you'd have to try to compare the value of one car to another using something else, like the number of cows it was worth or the length of time it took to make the car.



Unit of Account

Consumers know the value of something when you assign a price (monetary value) to it.

MP3 Player
$29.00

MP3 Player
$129.00